January 2, 2024

Mr. ADRIAN P. DIMACALI
HR Manager & General Counsel
Mary Grace Foods, Inc.
Level 3 Retain Podium, The Enterprise Center
6766 Ayala Avenue cor. Paseo De Roxas
Makati City 1226 Philippines

THE ENTERPRISE CENTER – LEASE RENEWAL PROPOSAL – RETAIL

Dear Mr. Dimacali,

Greetings! Thank you for interest in renewing your lease in The Enterprise Center (the "Building"). We are pleased to submit this Lease Renewal Proposal, which outlines the terms and conditions for continuing the lease of the retail space described herein, for your review and consideration:

1. LESSOR — **KSA REALTY CORPORATION**

2. LESSEE — **MARY GRACE FOODS, INC. (MARY GRACE BAKERY)**

3. LEASE PREMISES — **A portion of the Retail Podium, on Level 3 of the Building, with a gross leasable area (GLA) of 10.54 square meters**

4. LEASE TERM — **Three (3) years, from January 16, 2024 to January 15, 2027**

5. MONTHLY RENT AND ANNUAL ESCALATION — **PH₱ 2,094.75 per square meter per month, escalating by five percent per annum (5% p.a.) starting Year 2**

YR	INCLUSIVE DATES	RATE	ESC
1	January 16, 2024 to January 15, 2025	PH₱ 2,094.75	-
2	January 16, 2025 to January 15, 2026	PH₱ 2,199.49	5%
3	January 16, 2026 to January 15, 2027	PH₱ 2,309.46	5%

The Monthly Rent shall be computed based on GLA occupied, subject to value-added (VAT) and withholding (WHT) taxes.

6. RENEWAL RATE — The Renewal Rate shall be based on prevailing lease rates for Premium Grade buildings in Makati and market trends at the time of renewal.

7. MANNER OF PAYMENT — The LESSEE undertakes to pay above-stated Monthly Rent for the lease and use of the Lease Premises quarterly in advance (subject to VAT and WHT).

8. SECURITY DEPOSIT — Equivalent to three (3) months' rent based on the rate for Year 3, payable on or before the execution of the Contract of Lease. The Security Deposit shall be maintained at an amount equal to three (3) months' rent at all times during the Lease Term.

9. ADVANCE RENT — Equivalent to three (3) months' rent based on the rate for Year 3 (subject to VAT and WHT), payable on or before the execution of the Contract of Lease, and applicable to the last three (3) months of the lease. The Advanced Rent shall be maintained at an amount equal to three (3) months' rent at all times during the Lease Term.

10. CONDOMINIUM DUES

PH₱ 220.00 per square meter per month

Subject to increase with prior written notice to the LESSEE, and payable monthly without need of demand, on or before the first day of the month due, at the Property Management Office (PMO). Condominium Dues are computed based on the following expense items:

- Cost of administration
- Electricity and water for the common areas
- Air-conditioning (A/C) for the Lease Premises and relevant common areas
- Maintenance and repair of common areas and facilities therein, i.e. elevators, emergency generators, A/C system, fire alarm system, sprinkler system, and all other utilities in the Building
- Fire and lightning insurance and comprehensive general liability insurance premiums for the Building, except for the Lease Premises and the improvements therein
- Security and janitorial services for common areas
- Environmental improvement, landscaping and decoration
- Taxes, annual fees, and dues paid to the City of Makati and the Makati Commercial Estates Association (MACEA), including real property taxes, and fees for electrical, mechanical, sanitary, fire safety inspections, and other related charges
- All other expenses that may be incurred for the management of the common areas or for common benefit
- Special assessments for non-regular or extraordinary expenses that may be imposed from time to time

11. ADDITIONAL PAYMENTS

In addition to the Monthly Rent and Condominium Dues, the LESSEE shall also pay to the LESSOR the following charges:

- Monthly fee to defray and pay for the cost of electricity and water consumed within the Lease Premises based on individual sub-meter
- Monthly fee to defray and pay for the cost of additional or backup chilled water A/C supply within the Lease Premises, if applicable, based on a fixed rate of PH₱ 5,900.00 per ton of refrigeration (TR) per month

12. INSTALLATION OF UTILITIES

The cost for the installation of backup A/C, telephone, internet, and other utilities, as well as additional separate meters for electricity and water in the Lease Premises, shall be for the sole account of the LESSEE.

13. TENANT IMPROVEMENT

The LESSEE shall not make any alteration, addition or improvement within the Lease Premises, or effect the installation of any fixture required by the conduct of its business, without prior written consent from the LESSOR, which consent shall not be unreasonably withheld, and subject at all times to such reasonable terms and conditions as may be imposed by the LESSOR. All authorized alterations, additions or improvements made by the LESSEE within the Lease Premises shall be for the sole account of the LESSEE, and shall be done in a manner that befits a first class office space. All building, architectural, engineering, and conceptual plans, and specifications for any alteration, addition or improvement, shall be submitted to the LESSOR for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement.

14. LESSEE ACCESS

The LESSEE is allowed to access the Lease Premises to conduct business 24 hours a day, 7 days a week.

15. LESSOR ACCESS

Subject to prior written notice of at least one (1) working day, the LESSEE shall permit the LESSOR, public utility companies, and their respective authorized representatives, at reasonable times, to enter the Lease Premises

for the purpose of inspecting the condition of the Lease Premises or undertaking repair and maintenance of utilities, facilities and other structural elements used or shared in common by the LESSEE with the other tenants of the Building, or for determining the LESSEE's compliance with any of the provisions hereunder. During an emergency, the LESSOR or its authorized representative, without incurring any liability whatsoever, shall be entitled to enter the Lease Premises as the LESSEE's attorney-in-fact, to undertake necessary repairs or conduct inspections thereof, for the protection of the Lease Premises and the Building. Provided further that the LESSOR shall exert its best efforts such that any of the activities described herein shall cause the least inconvenience to the LESSEE, as is possible or practicable.

16. PRE-TERMINATION

Except when pre-termination is for causes attributable to the LESSOR, its agents or representatives, if the LESSEE terminates the lease before lease expiry, the LESSEE shall nevertheless pay the rent until the end of the Lease Term, or until a new tenant for the Lease Premises is found, whichever comes earlier. The LESSOR shall not be under any obligation to find a new tenant for the Lease Premises. If a new tenant agrees to lease the Lease Premises for at least the remainder of the Lease Term, the LESSEE shall indemnify the LESSOR for all costs which may have been incurred by the LESSOR for finding the new tenant, and the LESSOR's certification as to such costs shall be conclusive and binding upon the LESSEE. The LESSEE's obligation to pay the Monthly Rent shall cease when a new tenant is found and succeeds the lease.

17. HOLDOVER

If the LESSEE fails to return the Lease Premises to the LESSOR at the end of the Lease Term for reasons other than Force Majeure, the Security Deposit shall be forfeited in favor of the LESSOR as penalty. In addition, the LESSEE shall pay the LESSOR, as damages, a sum equal to two times (2×) the gross passing rent, for the period during which the LESSEE shall retain possession of the Lease Premises. The exercise by the LESSOR of its rights under this Article shall not be interpreted as a grant of permission to the LESSEE to continue in possession of the Lease Premises beyond the term of the Contract of Lease, and the damages due the LESSOR hereunder shall be in addition to other damages which may become due the LESSOR.

18. REINSTATEMENT

Ownership of Improvements – All alterations, additions or improvements made by the LESSEE, as well as any alteration, improvement or installation placed in or on the Lease Premises by the LESSOR, except movable furniture and fixtures placed in the Lease Premises at the expense of the LESSEE, shall become the property of the LESSOR at the expiry or termination of the Contract of Lease, and shall remain upon and be surrendered with the Lease Premises as part thereof, without compensation for their value to the LESSEE. In the event that the LESSEE fails to comply with the provisions of this Article, the LESSOR shall be entitled to indemnity for the total cost of damages suffered by the LESSOR or the Lease Premises by reason of such violation.

Required Removal – If, however, the LESSOR shall request in writing, the LESSEE will, prior to or within thirty (30) days of the termination or expiration of the Lease Term, remove all alterations, additions and improvements placed or installed by the LESSEE in the Lease Premises, and repair any damage caused by such removal at the LESSEE's expense.

19. ASSIGNMENT, TRNSFER AND SUBLEASE

Prohibitions – The LESSEE shall not assign or transfer any or all of its interests, rights and obligations under the Contract of Lease, nor sublease all or any part of the Lease Premises, or enter into any arrangement whereby the use or possession of any part of the Lease Premises is transferred, to any person other than affiliates as defined herein, regardless of whether rental or

other consideration is given therefor. No right, title or interest to, in and under this Contract of Lease, shall be deemed conferred or vested in any person other than the LESSEE, without the LESSOR's prior written consent.

Affiliates – The term "affiliate," as used above, shall refer not only to any juridical person where the majority of the issued and outstanding shares of stock or contributions pertains to the LESSEE but, likewise, to an entity which, while not being a majority stockholder or contributor, controls the management of such juridical person through a management contract, or to one which, while not having a management contract, is publicly and demonstrably known to be in control of the management thereof.

20. ELECTRICAL SYSTEM

- 100A tap-off breaker allotted per floor with 3-phase, 380V line-to-line, 220V line-to-neutral
- Eight (8) units tower block, subdivided on each floor with a capacity of 40A, including residual current circuit breaker (RCCB) and single-phase watt-hour meter
- All piping and conduits must be inter-metallic conduits (IMC)
- Connection shall be line-to-neutral

21. AIR-CONDITIONING SYSTEM

- Centralized cooling system with five (5) units 570-TR centrifugal-type chillers and two (2) units screw-type chillers
- Seven (7) chilled water pumps (plus one pump controlled via VFD)
- Seven (7) condenser water pumps (plus one pump controlled via VFD)
- Six (6) units 840-TR cross-flow cooling towers with three (3) cells each
- Scheduled introduction of fresh air, via pressurization blowers, prior to Building startup
- Regular operating schedule:
  - Mondays to Fridays at 7:30 AM to 6:00 PM
  - Saturdays at 8:00 AM to 1:00 PM
  - None on Sundays and holidays
- After-office extension charges at PH₱ 1,800.00 per hour per floor per tenant
- Only chilled water-type fan-coil units (FCUs) allowed to be installed within the Lease Premises
- Only 7.5TR additional cooling capacity allowed per floor, charged at PH₱ 5,900.00 per TR per month
- Room comfort level is 24°C± with a relative humidity of 50% (±10%)
- 60TR total cooling capacity per floor, with two (2) air-handling units (AHUs) of 30TR, 10HP, 380VAC each
- Chilled water entering at 44°F, leaving at 54°F
- Eight (8) Variable Air Volume (VAV) dampers strategically located per office floor, controlled by thermostat and monitored through a Building Management System (BMS)

22. SECURITY SYSTEM

- 329 (PTZ and fixed) comprehensive CCTV cameras strategically located in the common areas of the Building
- Upgraded Fire Detection and Alarm System (FDAS) that includes sprinkler system, smoke detection system, alarm activation button, strobe light location indicator, fire hydrant hose reel system, and audio signals thru public address system
- BMS that automatically controls and monitors the lighting, power supply, fire protection and suppression, A/C, ventilation and fresh air supply, and water supply systems of the Building
- Elevator Monitoring and Control System that closely monitors the operational status of all elevators in the Building
- Door contacts and access are installed in all critical rooms, machine rooms and other restricted areas of the Building

- 44 watchmen posts inside the Building providing 24/7 security, including roving guards in both towers who also are also part of the Building's Emergency Response and Rescue Team (ERRT)

23. TELECOMMUNICATIONS

The Lease Premises are fitted with telephone entrance cables up to the telephone outlet to meet the LESSEE's requirements for standard telephone lines. It shall be the LESSEE's responsibility to make arrangements with any of the available telecommunication providers in the Building for the installation of the LESSEE's telecommunication requirements. The LESSEE shall bear the cost of installation and other materials used in the connection, as well as the monthly consumption charges:

- Main Distribution Frame (MDF) located in Basement 1, Tower 2
- Telecommunication companies' fiber optic lines at service entrance through manhole going to MDF
- Voice and data lines distributed from MDF via Building Intelligence Room
- 150 telephone lines available per floor
- Providers are PLDT, Smart, Globe, BayanTel, and Eastern

24. BACKUP POWER

- Six (6) units diesel fuel generators with 1.5MW capacity, 380VAC and 220VAC, 60 Hz, providing 100% backup power
- Automatic transfer switch (ATS) at 6 to 10 seconds transfer time from normal to emergency and vice versa
- Diesel supply at 4 to 5 days running time on full load

25. CONFIDENTIALITY

The information contained herein is to remain confidential only to the parties noted herein. The information is not to be disclosed to any third party. The terms and conditions in this Lease Renewal Proposal are strictly confidential between the LESSOR, the LESSEE and their professional advisers. The content is not to be disclosed to any third party without the prior written approval of the parties or as may be required by law.

26. OTHER TERMS AND CONDITIONS

Other terms and conditions not stated herein shall be provided in the Lease Renewal Agreement.

****** SIGNATURE PAGE FOLLOWS ******

Should you find the above terms and conditions acceptable, please signify your conformity by signing on the space provided below. Thereafter, kindly e-mail a copy of the signed Lease Renewal Proposal to the undersigned at robert.lee@theenterprisecenter.com.ph, and at annaleen.macasarte@theenterprisecenter.com.ph. Unless accepted and signed accordingly, this Lease Proposal is valid only for fifteen (15) days from the date of receipt. Once duly signed, this shall constitute a valid and binding agreement between the parties, and shall govern the relations of the parties until such time the Lease Renewal Agreement is executed. We hope you find everything in order and look forward to your favorable response. Thank you very much!

Yours truly,

For and in behalf of
KSA Realty Corporation

ROBERT P. LEE
Leasing Manager
The Enterprise Center

CONFORMITY

For and on behalf of MARY GRACE FOODS, INC. (MARY GRACE BAKERY), I hereby accept above-stated terms and conditions.

Adrian P. Dimacali
_____
SIGNATURE OVER PRINTED NAME OF AUTHORIZED REPRESENTATIVE

5 March 2024
_____
DATE SIGNED